Bausch Health Cos Inc

4Q25 In Line; 2026 Will Be an Interesting Year; Maintain OW Focus on NumberCo

Overweight

BHCCN

North America Corporate Credit - Healthcare (HY)

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Recommendation. We maintain our OW recommendation on NumberCo, 11% 1L 2028, and 8.5% 2027s and an UW on the remaining tranches. 2025 is over. 2026 is going to be an interesting year and we hope to have some closure on the Xifaxan litigation and co-op this year. Risks to our OW include declining BLCO equity (NumberCo), mark-to-market risk (RemainCo). Risks to our UW include stronger-than-expected cash flow, the company distributing unencumbered shares to unsecured holders, and the company not distributing unencumbered equity to shareholders.

Table 1: Pricing

						RATINGS		PRICING		
CREDIT	RATE	RANKING	MATURITY	RECOMMENDATION	SIZE ($mn)	M	S&P	Px	YTW	STW
BHCCN	TSFR1M+625bp, Indx Fl: 0	Term Loan	10/8/2030	OVERWEIGHT	2,985	Caa1	B	98.5	10.33%	666
BHCCN	10.000%	First Lien	4/15/2032	OVERWEIGHT	6,000	Caa1	B	104.1	9.10%	519
BHCCN	4.875%	First Lien	6/1/2028	UNDERWEIGHT	803	Caa1	B-	93.8	7.92%	444
BHCCN	11.000%	First Lien	9/30/2028	OVERWEIGHT	888	Caa1	B-	105.3	8.70%	526
BHCCN	14.000%	Second Lien	10/15/2030	UNDERWEIGHT	352	Caa3	CCC+	101.5	13.54%	945
BHCCN	8.500%	Unsecured	1/31/2027	OVERWEIGHT	643	Ca	CCC+	100.0	8.49%	506
BHCCN	7.000%	Unsecured	1/15/2028	UNDERWEIGHT	172	Ca	CCC+	91.8	11.97%	857
BHCCN	5.000%	Unsecured	1/30/2028	UNDERWEIGHT	433	Ca	CCC+	88.5	11.79%	847
BHCCN	6.250%	Unsecured	2/15/2029	UNDERWEIGHT	821	Ca	CCC+	81.5	14.05%	1,060
BHCCN	5.000%	Unsecured	2/15/2029	UNDERWEIGHT	452	Ca	CCC+	78.3	14.19%	1,080
BHCCN	7.250%	Unsecured	5/30/2029	UNDERWEIGHT	337	Ca	CCC+	82.3	14.20%	1,083
BHCCN	5.250%	Unsecured	1/30/2030	UNDERWEIGHT	779	Ca	CCC+	72.8	14.57%	1,110
BHCCN	5.250%	Unsecured	2/15/2031	UNDERWEIGHT	463	Ca	CCC+	67.3	14.76%	1,119

Source: Bloomberg Finance L.P., Company filings

2027 EBITDA. Recall, the company noted that its average EBITDA over the next 2 years should not be materially different than 2025. FYE 2025 EBITDA was $2.798bn, the midpoint of 2026 is $2,913bn, which implies 2027 will be roughly $2.7bn. We assume the impact from the IRA will be offset by growth from Solta and International.

Salix is a leader in GI and hepatology. The company highlighted its growing presence in HE but there was no mention of IBS-D in the process. This was due to higher growth expectations for HE (more scripts, more tablets per script, longer duration, etc.).

Xifaxan litigation. We await the decision regarding Norwich's 30-month stay and whether TEVA will maintain its FTF. We assume this decision will be out in the next 2-3 months. The trials for the Norwich and Amneal litigation have not been scheduled as the courts await the FTF decision and the outcome of Norwich and Amneal's summary judgment request (which may be heard on April 7). In our view, the recent docket filing (138 filed 2/6/26) provided a concise summary of each party's arguments (Salix, Amneal, and Norwich). Highlights include Salix's views regarding the FTF decision and whether cases should move forward, the joint motion for summary judgment, Norwich's decision to launch immediately (not new news), Amneal's view that the only hurdle preventing them from launching if Teva loses its FTF is its 30-month stay ("ends August 29, 2026), Amneal was asserted a polymorph patent (Bausch did not assert the same polymorph against

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Norwich), and Norwich believes the trial will take no more than 3 days.

Salix. Xifaxan was up +10%, which was attributed to 10% growth in TRx (with Medicaid, TRx was down -1% y/y as the company exited Medicaid/340b; TRx excluding Medicaid was up +10%). Accelerated sales of Xifaxan related to non-discounted residual volume from Medicaid states boosted Xifaxan revenue in the quarter (less than $50mn). Relistor was up +10% and Trulance was down -16%. Management noted that 2025 may be the peak year for Xifaxan revenue due to the one-time benefits in 4Q25, which should not be a surprise given the one-time sales in 4Q, the 4Q26 adjustments and the IRA impact in 2027.

Solta China was below expectations due to the acquisition of Shibo's distribution business. Ex-Shibo, China sales would have increased (and overall Solta would have been up MSD); however, inventory absorption stalled sales in November (as they worked towards depleting this inventory). Solta Korea was up +40%. Solta segment profit was down -25% as the company absorbed one-time costs due to the Shibo acquisition. Going forward, the market seems to be maturing from an installed base standpoint, which shifts our focus on the attachments and operating leverage (which should be high). Furthermore, the Shibo acquisition could accelerate and improve on our Solta DCF estimates.

International. Reported was up +10%, with LATAM and EMEA revenue higher, offset by lower Canadian revenue (lower Wellbutrin volume due to generic competition offset by promoted products such as Cabtreo).

Diversified. Revenue was up +12% with Neuroscience up +4% due to favorable pricing, Derm up +11% due to Cabtreo, and Generics up +60%.

Guidance. The company's EBITDA guidance of $2.875-2.95bn was ahead of our $2.839bn.The guidance does adjust for a GTN accrual adjustment expected in Q4 on wholesale inventories ahead of the IRA implementation date in Jan-27.

BHC Credit. Leverage was 5.4x, secured leverage 3.9x. Cash on the balance sheet was $928mn.

Table 2: Earnings Summary excl BLCO

	Q3:24	Q4:24	FY 2024	Q1:25	Q2:25	Q3:25	Q4:25	FY 2025
LTM EBITDA	2,386	2,553	2,553	2,625	2,687	2,639	2,798	2,798
Secured Debt	9,424	9,393	9,393	9,362	11,426	11,418	11,028	11,028
Total Debt	14,671	14,640	14,640	14,609	16,138	15,528	15,138	15,138
Secured leverage	3.9x	3.7x	3.7x	3.6x	4.3x	4.3x	3.9x	3.9x
Total leverage	6.1x	5.7x	5.7x	5.6x	6.0x	5.9x	5.4x	5.4x
Revenue	1,314	1,279	4,834	1,122	1,252	1,400	1,391	5,165
Gross profit	1,082	1,154	3,924	885	1,013	1,179	1,129	4,206
Margin	*82.3%*	*90.2%*	*81.2%*	*78.9%*	*80.9%*	*84.2%*	*81.2%*	*81.4%*
EBITDA	**723**	**712**	**2,553**	**576**	**676**	**773**	**773**	**2,798**
EBITDA margin	***55.0%***	***55.7%***	***52.8%***	***51.3%***	***54.0%***	***55.2%***	***55.6%***	***54.2%***
Cash flow from ops (Total less BLCO	251	579	1,365	236	254	268	359	1,117
Less capex (Total less BLCOCN)	(11)	(14)	(46)	(5)	(10)	(17)	(16)	(48)
Percent of sales	*0.8%*	*1.1%*	*1.0%*	*0.4%*	*0.8%*	*1.2%*	*1.2%*	*0.9%*
Free Cash Flow	**240**	**565**	**1,319**	**231**	**244**	**251**	**343**	**1,069**

Source: Company filings, J.P. Morgan research

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Table 3: Guidance range

$mm	2025 Actual	Company 2026 Guidance Low	High	Midpoint	2026 BBG Estimate Mean
Revenue	5,165	5,250	5,400	5,325	5,176
Adj. EBITDA	2,798	2,875	2,950	2,913	2,737
Adj. EBITDA margin		*54.76%*	*54.63%*	*54.69%*	*52.88%*
Cash Flow from Operations	1,191	1,200	1,275	1,238	

Source: Company filings, Bloomberg Finance L.P.

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Bausch Health Cos Inc - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	15 Oct 24	Withdrawn	Not Rated	BHCCN
Issuer	29 May 25	Restored	Overweight	BHCCN
10% 1L Secured Notes due 2032 *	29 May 25	Initiate	Overweight	US68288AAA51
11.000% Sr notes due 2028	24 Feb 23	Upgrade	Overweight	US071734AQ04
11.000% Sr notes due 2028	10 Oct 23	Downgrade	Underweight	US071734AQ04
11.000% Sr notes due 2028	15 Oct 24	Withdrawn	Not Rated	US071734AQ04
11.000% Sr notes due 2028	29 May 25	Restored	Overweight	US071734AQ04
14.000% Sr notes due 2030	24 Feb 23	Upgrade	Overweight	US071734AR86
14.000% Sr notes due 2030	10 Oct 23	Downgrade	Underweight	US071734AR86
14.000% Sr notes due 2030	15 Oct 24	Withdrawn	Not Rated	US071734AR86
14.000% Sr notes due 2030	29 May 25	Restored	Underweight	US071734AR86

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1y CDS	24 Feb 23	Initiate	Neutral	—
1y CDS	15 Oct 24	Withdrawn	Not Rated	—
1y CDS	29 May 25	Restored	Neutral	—
2y CDS	24 Feb 23	Initiate	Neutral	—
2y CDS	15 Oct 24	Withdrawn	Not Rated	—
2y CDS	29 May 25	Restored	Long Risk	—
3y CDS	24 Feb 23	Initiate	Neutral	—
3y CDS	15 Oct 24	Withdrawn	Not Rated	—
3y CDS	29 May 25	Restored	Neutral	—
4.500%'23	07 Jan 21	Terminate	Not Covered	XS1205619288
4.875% Sr Sec Notes Due 2028	24 Feb 23	Upgrade	Overweight	US071734AN72
4.875% Sr Sec Notes Due 2028	10 Oct 23	Downgrade	Underweight	US071734AN72
4.875% Sr Sec Notes Due 2028	15 Oct 24	Withdrawn	Not Rated	US071734AN72
4.875% Sr Sec Notes Due 2028	29 May 25	Restored	Underweight	US071734AN72
4y CDS	24 Feb 23	Initiate	Neutral	—
4y CDS	15 Oct 24	Withdrawn	Not Rated	—
4y CDS	29 May 25	Restored	Neutral	—
5.00% Sr Unsec Notes due 2029	15 Oct 24	Withdrawn	Not Rated	US071734AM99
5.00% Sr Unsec Notes due 2029	29 May 25	Restored	Underweight	US071734AM99
5.000% Sr Unsec Notes due 2028	28 Jul 22	Terminate	Not Covered	USC07885AD50
5.000% Sr Unsec Notes due 2029	28 Jul 22	Terminate	Not Covered	USC07885AH64
5.000% Sr Unsec notes due 2028	15 Oct 24	Withdrawn	Not Rated	US071734AH05
5.000% Sr Unsec notes due 2028	29 May 25	Restored	Underweight	US071734AH05
5.25% Sr Unsec due 2030	15 Oct 24	Withdrawn	Not Rated	US071734AJ60
5.25% Sr Unsec due 2030	29 May 25	Restored	Underweight	US071734AJ60
5.250% SR unsec due 2031	15 Oct 24	Withdrawn	Not Rated	US071734AL17
5.250% SR unsec due 2031	29 May 25	Restored	Underweight	US071734AL17
5.250% Sr Unsec Notes due 2030	28 Jul 22	Terminate	Not Covered	USC07885AE34
5.250% Sr Unsec Notes due 2031	28 Jul 22	Terminate	Not Covered	USC07885AG81
5.375% Nts due 2020	17 Aug 18	Terminate	Not Covered	US91831AAA97
5.50% Sr unsec notes due 2023	07 Jan 21	Terminate	Not Covered	US91911KAE29
5.500% Sr Unsec Notes due 2025	15 Oct 24	Withdrawn	Not Rated	US91911KAN28
5.500% Sr Unsec Notes due 2025	29 May 25	—	Not Covered	US91911KAN28
5.625% Sr Nts 2021	11 Apr 19	Terminate	Not Covered	US91911KAD46
5.750% 1L Notes due 2027	24 Feb 23	Upgrade	Overweight	US071734AC18
5.750% 1L Notes due 2027	10 Oct 23	Downgrade	Underweight	US071734AC18
5.750% 1L Notes due 2027	15 Oct 24	Withdrawn	Not Rated	US071734AC18
5.750% 1L Notes due 2027	29 May 25	—	Not Covered	US071734AC18
5.875% Nts due 2023	07 Jan 21	Terminate	Not Covered	US91831AAB70
5y CDS	24 Feb 23	Initiate	Neutral	—
5y CDS	15 Oct 24	Withdrawn	Not Rated	—
5y CDS	29 May 25	Restored	Neutral	—
6.125% Sr Sec Notes due 2027	24 Feb 23	Upgrade	Overweight	US071734AP21
6.125% Sr Sec Notes due 2027	10 Oct 23	Downgrade	Underweight	US071734AP21
6.125% Sr Sec Notes due 2027	15 Oct 24	Withdrawn	Not Rated	US071734AP21
6.125% Sr Sec Notes due 2027	29 May 25	—	Not Covered	US071734AP21
6.125% Sr Unsec Notes due 2025	28 Jul 22	Terminate	Not Covered	US91831AAC53
6.250% Sr Unsec Notes due 2029	15 Oct 24	Withdrawn	Not Rated	US071734AK34
6.250% Sr Unsec Notes due 2029	29 May 25	Restored	Underweight	US071734AK34

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6.375% Sr Nts 2020	17 Aug 18	Terminate	Not Covered	US91829KAA16
6.500%'22	15 Jun 20	Terminate	Not Covered	US91911KAJ16
6.750% Sr Nts 2017	24 Jun 16	Terminate	Not Covered	US91911XAL82
6.750% Sr Nts 2018	26 Jan 18	Terminate	Not Covered	US92912EAC75
6.750% Sr Nts 2021	17 Aug 18	Terminate	Not Covered	US91911XAQ79
6.875% Sr Nts 2018	24 Jun 16	Terminate	Not Covered	US91911XAN49
6m CDS	24 Feb 23	Initiate	Neutral	—
6m CDS	15 Oct 24	Withdrawn	Not Rated	—
6m CDS	29 May 25	—	Not Covered	—
7.000% Sr Nts 2020	17 Aug 18	Terminate	Not Covered	US91911XAM65
7.000% Sr Unsec Notes due 2028	15 Oct 24	Withdrawn	Not Rated	US071734AD90
7.000% Sr Unsec Notes due 2028	29 May 25	Restored	Underweight	US071734AD90
7.000%'24	06 Jul 21	Terminate	Not Covered	US91911KAK88
7.250% Sr Nts 2022	17 Aug 18	Terminate	Not Covered	US91911XAS36
7.250% Sr Unsec Notes due 2029	15 Oct 24	Withdrawn	Not Rated	US071734AF49
7.250% Sr Unsec Notes due 2029	29 May 25	Restored	Underweight	US071734AF49
7.500% Sr Nts 2021	11 Apr 19	Terminate	Not Covered	US92912EAA10
9.000% Sr Unsec Notes due 2025	15 Oct 24	Withdrawn	Not Rated	US91911KAP75
9.000% Sr Unsec Notes due 2025	29 May 25	—	Not Covered	US91911KAP75
BHCCN 8.50% Sr Unsec Nts due '27	10 Oct 23	Downgrade	Underweight	US91911XAW48
BHCCN 8.50% Sr Unsec Nts due '27	15 Oct 24	Withdrawn	Not Rated	US91911XAW48
BHCCN 8.50% Sr Unsec Nts due '27	29 May 25	Restored	Overweight	US91911XAW48
BHCCN 9.25% Sr Unsec Nts due '26	15 Oct 24	Withdrawn	Not Rated	US91911XAV64
BHCCN 9.25% Sr Unsec Nts due '26	29 May 25	Restored	Overweight	US91911XAV64
BLCOCN Term Loan B 1L USD Corp	29 May 25	Withdrawn	Not Rated	XAC0787FAB85
L+300bp Term Loan B due 2025	28 Jul 22	Terminate	Not Covered	XAC9413PAZ62
S+625bp Term Loan due 2030	29 May 25	Initiate	Overweight	XAC6903HAB06
Term Loan B 1L USD Corp	10 Oct 23	Downgrade	Underweight	XAC9413PBD42
Term Loan B 1L USD Corp	15 Oct 24	Withdrawn	Not Rated	XAC9413PBD42
Term Loan B 1L USD Corp	29 May 25	—	Not Covered	XAC9413PBD42

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Completed 19 Feb 2026 11:05 PM EST

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